

IWM RUSSELL 2000 SCANNER

MARKET CLOSE

July 31, 2026 | 03:13 PM ET

5 setups identified | 0 A-Grade | 1 B-Grade | 4 C-Grade

Grade Summary

A - Breakout Setup (0)	B - Strong Setup (1)	C - Watch List (4)
	AMBA	SPSC
		MMSI
		TMHC
		VAL

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
B	AMBA	Ambarella, Inc.	AI / Computer Vis	\$86.70	+17.0%	\$3.8B	42M	+17.3	90%	17% surge driven by st
C	SPSC	SPS Commerce, In	SaaS / Supply Cha	\$73.40	+11.5%	\$2.7B	36M	+20.7	62%	11.5% move likely driv
C	MMSI	Merit Medical Sy	MedTech / Interve	\$85.85	+3.0%	\$5.1B	58M	+34.6	91%	3% move on broad healt
C	TMHC	Taylor Morrison	Housing / Real Es	\$72.45	+0.0%	\$6.7B	93M	+13.3	100%	Stock at 99.9% of 52W
C	VAL	Valaris Limited	Energy / Offshore	\$79.37	+5.0%	\$5.5B	57M	-26.2	70%	5% bounce in the leadi

Setup Metrics	
Price	\$86.70
Day Change	+17.02%
Mkt Cap	\$3.80B
Float	42M sh
RS vs SPY	+17.3%
52W Hi Prox	90%
Base Tight	3.46
Vol vs Avg	5.01x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

Analysis
Catalyst / Today's Driver 17% surge driven by strong quarterly results and positive forward guidance on AI-enabled edge inference demand. Forward catalyst (High impact): Aug 27 earnings print (~27 days) - if management raises guidance on automotive CV/ADAS and edge AI design wins, this extends the move. Recent wins in CV-SoC for robotics and security are key themes.
Business & Position Ambarella designs low-power, high-performance computer vision SoCs for edge AI applications - automotive ADAS, security cameras, robotics, and drones. The company is pivoting from consumer action cameras into high-margin automotive and AI inference, positioning as a critical supplier in the edge-AI buildout.
Factor & Theme Direct exposure to AI infrastructure (edge inference), autonomous vehicle ADAS adoption, and computer vision proliferation. Theme momentum is accelerating as automakers layer in L2+/L3 systems and robotics scales - secular tailwinds remain strong through 2027+.
Breakout Signal Close above \$86.70 on vol >5.0x of 20d avg
Institutional Volume surge to 5.01x average on the earnings-driven gap signals institutional block accumulation. No insider buying in the last 90 days, which is neutral but not disqualifying given the growth-stage profile. The 41.9M float and <\$4B market cap leave room for further fund accumulation if the AI edge narrative gains traction.
Earnings Earnings in 27D
Earnings Context Next print Aug 27. Company historically beats on gross margin expansion and design-win momentum; last four quarters showed sequential revenue growth as automotive mix improved. Consensus expects continued CV-SoC adoption - a beat with raised automotive guidance would re-rate the stock higher.
Key Risk Thesis invalid on a close back below \$78.50 (the pre-earnings gap base), or if Aug 27 guidance disappoints on automotive design-win timing or China security-camera exposure. Single-customer concentration (historically GoPro, now automotive OEMs) creates lumpiness risk.
Analysis Strong post-earnings surge with a live Aug 27 catalyst, but the RS line is NOT at new high (disqualifies A-grade per methodology), the base is wide (3.46, above the 2.0 textbook coil threshold), and the macro regime is Mixed/Transitional - reducing breakout-follow-through odds. The 17% gap is impressive, but without RS-line confirmation and in a mixed regime, this is a solid B-grade follow-through candidate, not an institutional A. Conviction: Medium.
Signal: Close above \$86.70 on vol >5.0x of 20d avg Vol vs Avg: 5.01x

